

OBSERVATIONS BY Mr. KELLOGG.

While I agree with the action taken by the Court and consider that, in view of the unsatisfactory and contradictory provisions of the Special Agreement by which the Parties have submitted this case to the Court, it is perhaps the only course by which the Court could, under its Statute, aid the Parties in arriving at a wholly satisfactory solution of their dispute, nevertheless, in view of certain language used in the Order, which might be the source of doubt as to the limits of the jurisdiction of this Court and might serve as a basis of argument that it is within the competence of this Court, with the consent of the Parties, to take jurisdiction of and decide purely political questions upon considerations of expediency without regard to the legal rights of the Parties, I feel it incumbent upon me to make the following observations :

In my opinion the question of the competence of this Court which has been raised by the present case and a direct decision of which the Court has avoided, for the moment at least, by the making of the present Order, is, from the point of view of the future of this Court and the development of the judicial settlement of international disputes, by far the most important question which has ever been brought before the Permanent Court of International Justice. I feel, therefore, that I would be derelict in my duty if I allowed the question to be passed over in silence or left any doubt as to my opinion in regard thereto.

Aside from the question of the meaning and legal effect of paragraph 2 of Article 435 of the Treaty of Versailles upon the legal rights and obligations of the Parties under the treaties of 1815 and 1816, which question was decided by the Court's Order of August 19th, 1929 (which the Court has reaffirmed in its present Order), the principal point of divergence between the positions maintained by the two Parties in the present phase of the case was as to the inter-

pretation which should be given to the first paragraph of Article 2 of their Special Agreement, and, in particular, in regard to the relation to, and the effect upon the present proceedings, of the finding of the Court in regard to the legal rights of the Parties as expressed in its Order which followed the first phase of the proceedings.

Briefly stated, the position taken by the French Government on this point is that, as the Parties in their negotiations for the settlement of the questions involved in the execution of paragraph 2 of Article 435—in other words in establishing the régime of the territories in question—were entirely free to enter into whatever stipulations they might agree upon, regardless of the former legal rights and obligations of the Parties, the Court now has an equal freedom in establishing the new régime of the territories, regardless of what it may find the legal rights and obligations of the Parties to be. Stated even more briefly, the French Government's position would seem to be that, as, in agreeing upon the future régime of the zones, Switzerland might have given up any or all of her legal rights to the maintenance of the zones, the Court may, in virtue of the second clause of the sentence forming the first paragraph of Article 2 of the Special Agreement, disregard the legal rights of Switzerland, if in its opinion such is necessary in order to bring the régime of the zones into line with present conditions.

The position taken by the Swiss Government is, on the other hand, briefly as follows:

The Court having indicated by its Order of August 19th, 1929, that in its opinion paragraph 2 of Article 435, together with its annexes, of the Treaty of Versailles had not abrogated and did not have as its object necessarily to cause the abrogation of the provisions of the treaties of 1815 and 1816, these provisions, therefore, remain in full force and effect as between France and Switzerland and the future régime of the territories must be established by the Court in strict respect for the legal rights of Switzerland to the maintenance of the free zones. The Swiss Government admits, however, that certain changes in the modalities of the

exchange of goods between Switzerland and the free zones may be necessary in order to bring the régime set up in 1815 into conformity with existing circumstances, and it is obvious from an examination of the proposal for judgment submitted by the Swiss Government that, even though the Court adopted the view that it was bound to respect the legal rights of Switzerland to the maintenance of the zones, it would nevertheless be called upon to lay down extensive customs and other regulations governing the exchange of goods and commodities between Switzerland and the territories in question.

But little could be usefully added to the language used in the Order of the Court upon this point. Although it cannot, perhaps, be stated that, upon its face, the meaning of the language used in the first paragraph of Article 2 of the Special Agreement is clear beyond dispute, it cannot in my opinion be seriously contended that a proper interpretation of this language would require the Court, in one and the same judgment, to determine the legal rights of the Parties and then establish a new customs and economic régime for the territories in question in disregard of such legal rights.

If the Court had found that the effect of Article 435 was to abrogate the treaties of 1815 and 1816, and the Parties had been unable to agree on the arrangement it should have been necessary to make to replace the régime created by these treaties, the sphere of the Court's action in settling all the questions involved in the execution of paragraph 2 of Article 435 of the Treaty of Versailles would have been greatly extended. However, the Court has not found such to be the effect of Article 435 of the Treaty of Versailles, and the holding of the Court as to the effect of the first clause of the sentence forming the first paragraph of this article inevitably restricts and limits the mission of the Court under the second clause of the sentence composing the first paragraph of Article 2 of the Special Agreement. Therefore, if Article 1 and the first paragraph of Article 2 of the Special Agreement be construed together with the second paragraph of Article 435 of the Treaty of Versailles and in the light of the holding of the Court upon the legal effect of this para-

graph, it is clear in my opinion that the Court would settle all the questions involved in the execution of the second paragraph of Article 435, if it determined and gave effect to the legal rights and obligations of the Parties under this paragraph.

However, neither of the Parties has taken this position, and if the Court were to adopt either the French or the Swiss contention, as to the proper construction of the first paragraph of Article 2 of the Special Agreement, it is obvious that the Court would, under this paragraph, be required to pass upon questions essentially economic and political in their nature, the decision of which is not to be found in an interpretation and application of treaties between the two countries nor in the application of rules and principles of law. The effect of paragraph 2 of Article 2 is to cause the Court's decision of these questions to be dependent upon the will of the Parties, and the Court has deemed the rendering of judgment under such conditions incompatible with the dignity of this Court.

It is primarily to avoid the necessity of asking the Parties whether or not they would accept the judgment rendered by it that the Court has made its present Order, providing, in substance, that the Parties shall be allowed a period of some eight months, expiring July 31st, 1931, in which to reach an agreement upon the questions referred to in paragraph 2 of Article 2 of the Special Agreement and any other points concerning the régime of the territories contemplated by Article 435, paragraph 2, of the Treaty of Versailles with which they may see fit to deal.

I am of the opinion, however, that even had there been no such limitation upon the power of the Court as that contained in paragraph 2 of Article 2 of the Special Agreement, the Court would not, under its Statute, which forms the fundamental law governing its jurisdiction, be competent to decide such questions as those presented by the task of setting up a special and complicated customs régime between two sovereign States; and, as indicated above, it is my desire that there should be no misunderstanding as to my opinion upon this most important question of the competence of the Court that has led me to make these observations.

The French Government cited the Hague Tribunal, the Behring Sea Arbitration and the North Coast Fisheries Arbitration as authorities for the proposition that it is within the competence of the Court to frame an entirely new régime. As to the authority of these precedents, it is sufficient to say that they were arbitrations pure and simple, and that the competence of an Arbitral Tribunal specially set up to settle a specific difference or series of differences between two or more States has as the sole limit of its jurisdiction and competence the provisions of the arbitration agreement to which it owes its existence. This Court—a permanent Court of international justice—has, in its Statute, a fundamental law defining the limits of the jurisdiction it may exercise. As aptly remarked, in the argument, by the Agent of the French Government (in connection with another point, it is true), there are certain articles of the Court's Statute against which the provisions of the Special Agreement of the Parties cannot avail. Every Special Agreement submitting a case to this Court must be considered to have, as tacitly appended clauses thereto, all the pertinent articles of the Court's Statute and must, in case of doubt as to its meaning, be interpreted in the light of such provisions of the Statute of the Court. The Agent of the French Government also cited the case of the Serbian Loans (Judgment No. 14) where the Special Agreement provided that, after the decision of the Court upon the legal question as to the manner in which the bonds should be repaid, negotiations were to follow to determine whether or not considerations of equity did not require that certain concessions be made by the Party in whose favour the Court gave its decision on the legal questions; and in the event of failure of the negotiations, this question was to be decided, *not by the Court*, but by a special arbitral tribunal set up by the Parties.

It is evident from a consideration of the circumstances which called for the creation of this Court and the history of its organization, as well as from a careful examination of the Court's Statute, framed by a special committee of jurists appointed by the Council of the League of Nations, that this tribunal is a Court of justice as that term is known and understood in the jurisprudence of civilized nations. The judges should be learned in the law, should be selected

without regard to their nationality and should, in their administration of justice, be governed solely by the special or general rules or principles of law applicable to the case in hand. At the time this Court was created, it was felt that the setting up of a special arbitral tribunal for the solution of disputes of a juridical nature was an unnecessarily cumbersome and on the whole unsatisfactory manner of deciding such questions; and it was desired that there should be an international court whose jurisdiction or competence should correspond to the common understanding of a Court of justice. It was desired that this Court should be permanent, and ready, at any moment, to hear and decide the legal differences of the nations. In view of the need this Court was created to fulfil, and of the circumstances surrounding its organization, it is scarcely possible that it was intended that, even with the consent of the Parties, the Court should take jurisdiction of political questions, should exercise the function of drafting treaties between nations or decide questions upon grounds of political and economic expediency.

At the time the Committee of Jurists met at The Hague for the purpose of drawing up a draft of the Court's Statute pursuant to instructions from the Council of the League, and to aid this body in the execution of Article 14 of the League Covenant, the idea of a Court of International Justice, as opposed to a Court of Arbitration, was by no means a novel conception. The jurists had before them schemes for such a Court drawn up by various conventions and conferences, by representatives of various nations and bodies for the study and advancement of legal science, as well as the writings of numerous jurists and publicists, which schemes and writings made a clear distinction between a Court of arbitration and a Court of justice.

As stated by Mr. James Brown Scott, Director of the Division of International Law of the Carnegie Endowment and Legal Assistant to Mr. Root during the work of the Jurists Committee at The Hague in 1920, in his book entitled: *The Status of the International Court of Justice*,

published by this Endowment in 1916 (p. 24): "The object of international arbitration is declared to be 'the settlement of differences between States by judges of their own choice, and on the basis of respect for law'. The object of judicial decision, on the contrary, is the decision of differences by judges, not necessarily chosen by the Parties in controversy, by an application of principles of law, not on the basis of respect for law." Again (pp. 25-26) the same author stated: "It is very difficult for one man to have two functions, and to draw a clean-cut line of distinction between their exercise. The executive, the legislative and the judicial powers are separated in constitutional countries, and it is believed that the experience of nations should not be lost upon arbitrators. It should be clearly known that they act either as diplomats and reach a compromise, as is proper in the case of diplomatic adjustment, or that they are judges and reach a judicial decision, as becomes judges. Until this is done, uncertainty exists; and uncertainty, it is submitted, either will or should prevent a resort to that form of procedure from which it is not excluded." As stated by the same authority in an address delivered August 1st, 1907 (*Actes et Documents de la Deuxième Conférence internationale de la Paix*, vol. II, pp. 313-321): "To decide as a judge, and according to law, it is evident that a Court should be constituted, and it is also evident that the Court should sit as a judicial, not as a diplomatic or political, tribunal.... The Court is not a branch of the Foreign Office, nor is it a chancellery. Questions of a political nature should be excluded, for a Court is neither a deliberative nor a legislative assembly. It neither makes laws nor determines a policy. Its supreme function is to interpret and apply the law to a concrete case."

Chief among the previous schemes for the establishment of an international Court of justice, which the Jurists Committee had before it and upon which it relied for inspiration, was that elaborated by the Hague Conference of 1907, which failed in the establishment of such a Court only because of its inability to reach an agreement as to the method of

election of judges. Mr. Elihu Root, who was one of the leading spirits in the work of the Jurists Committee, was at that time Secretary of State of the United States of America, and his instructions to the American delegates to the Hague Conference are of the greatest importance as throwing light upon the question of what was expected to be the nature of the Court which it was hoped this Conference would establish. The material part of these instructions reads as follows :

“The method in which arbitration can be made more effective, so that nations may be more ready to have recourse to it voluntarily and to enter into treaties by which they bind themselves to submit to it, is indicated by observation of the weakness of the system now apparent. There can be no doubt that the principal objection to arbitration rests not upon the unwillingness of nations to submit their controversies to impartial arbitration, but upon an apprehension that the arbitrations to which they submit may not be impartial; it has been a very general practice for arbitrators to act, not as judges deciding questions of fact and law upon the record before them under a sense of judicial responsibility, but as negotiators effecting settlements of the questions brought before them in accordance with the traditions and usages and subject to all the considerations and influences which affect diplomatic agents. The two methods are radically different, proceed upon different standards of honorable obligation, and frequently lead to widely differing results. It very frequently happens that a nation which would be very willing to submit its differences to an impartial judicial determination is unwilling to subject them to this kind of diplomatic process. If there could be a tribunal which would pass upon questions between nations with the same impartial and impersonal judgment that the Supreme Court of the United States gives to questions arising between citizens of the different States, or between foreign citizens and the citizens of the United States, there can be no doubt that nations would be much more ready to submit their controversies to its decision than they are now to take the chances of arbitration. It should be your effort to bring about in the Second Conference a development of the Hague tribunal into a permanent tribunal composed of judges who are judicial officers and nothing else, who are paid adequate salaries, who have no other occupation, and who will devote their entire time to the trial and decision of international causes by judicial methods and under a sense of judicial responsibility. These

judges should be so selected from the different countries that the different systems of law and procedure and the principal languages shall be fairly represented. The Court should be made of such dignity, consideration and rank that the best and ablest jurists will accept appointment to it, and that the whole world will have absolute confidence in its judgments."

The distinction between the function and object of a Court of justice and a Court of arbitration, as understood by the American delegates to the Hague Conference, is clearly put in the report made by the American delegation to the Secretary of State in connection with the Hague Conference of 1907 in the following language:

"It is obvious that such a court, acting under a sense of judicial responsibility, would decide, as a court, according to international law and equity, a question submitted to it, and that the idea of compromise hitherto so inseparable from arbitration should be a stranger to this institution."

It was most certainly a Court of this nature, and not a branch of a foreign office nor a chancellery, of which the Jurists Committee drafted the Statute when they met at The Hague.

At the time of the framing of the Statute of the Court there already existed special arbitral tribunals, as well as a general Court of Arbitration, organized by the Conventions of the Hague of 1899 and 1907, to which the nations were always at liberty to submit their political disputes for settlement. It was provided, in the first article of its Statute, that this Court was to be in addition to these Courts of Arbitration.

It may be contended that the language used in Article 36 of the Court's Statute opens the Court to any and all disputes voluntarily submitted to it by the Parties, regardless of the nature of the questions involved. Read alone, the provisions of this article might be deemed sufficiently broad to extend the jurisdiction of the Court to political as well as legal questions; but when these provisions are viewed in the proper perspective of the frame of the Court's Statute and are

construed in conjunction with the provisions of Article 38, it is deemed impossible to avoid the conclusion that this Court is competent to decide only such questions as are susceptible of solution by the application of rules and principles of law.

Article 38 of the Court's Statute provides that, in the decision of disputes :

"The Court shall apply :

1. International conventions, whether general or particular, establishing rules expressly recognized by the contesting States ;

2. International custom, as evidence of a general practice accepted as law ;

3. The general principles of law recognized by civilized nations ;

4. Subject to the provisions of Article 59, judicial decisions and the teachings of the most highly qualified publicists of the various nations, as subsidiary means for the determination of rules of law.

This provision shall not prejudice the power of the Court to decide a case *ex æquo et bono*, if the Parties agree thereto."

In other words, the Court is competent to construe and apply treaties between the nations and decide questions susceptible of solution by the application of well recognized rules and principles of international law or domestic law where such law is applicable to the question in hand. These are the same principles as those which, within the domain of domestic law, form the basis of the jurisdiction of Courts generally throughout the civilized world and are recognized by the jurisprudence of all civilized countries. A suit based upon a contract or upon a right recognized by the general principles of the law of a country may be brought in a domestic Court, but it is not the function of Courts to create contract rights between the Parties, except in so far as the rendering of a judgment may transform an unliquidated claim into a judicial contract. While Courts may well be called upon at times to lay down rules and regulations in accordance with which the legal rights of the Parties are to be enforced and enjoyed, their exercise of this function is

based upon the existence of rights recognized by the law and determined by the Court; and such regulations as the Court may make are merely for the enforcement and enjoyment of the existing legal rights and obligations of the Parties. The mission which the French Government's thesis, as to the interpretation of the Special Agreement, would have the Court fulfil is not that of laying down regulations for the enforcement of legal rights; for France has no such right to the creation of a new régime, if the provisions of the treaties of 1815 and 1816 continue to remain in force. The Court is, rather, called upon to create new rights and obligations for the Parties, and not to draw up regulations for the enforcement and enjoyment of their existing legal rights and obligations.

It is scarcely possible that the rules found in Article 38 of the Statute would have been laid down, had it been understood that this Court would be at liberty, not only to disregard the legal rights and obligations of the Parties, but to engage in exercising a power which is exclusively within the competence of the treaty-making authority of a sovereign State, the exercise of which must result in an alteration of the legal rights and obligations of the Parties.

The Agent of the French Government points to the second paragraph of Article 38 of the Court's Statute as empowering the Court to substitute itself for the Parties and, in effect, draw up a new agreement between them, if the French interpretation of the Special Agreement is adopted. This paragraph provides that the foregoing "provision shall not prejudice the power of the Court to decide a case *ex æquo et bono*, if the Parties agree thereto". While this Court has never expressly passed upon the meaning of this provision, it is significant that, in all the cases decided by it, the Court has never attempted to exercise a jurisdiction extending beyond that of deciding legal questions between nations, or the giving of advisory opinions on such questions to the Council of the League.

The authority given to the Court to decide a case *ex æquo et bono* merely empowers it to apply the principles of equity and justice in the broader signification of this latter word. In drafting Article 38 the framers of the Court's Statute were laying down rules for the decision of questions coming before the Court. International conventions must, of course, be construed; international customs taken as evidence of general practice accepted as law form another means of determining what constitutes international law; general principles of law recognized by civilized nations might include, not only international law, but such rules of domestic law as would be applicable to the decision of the case in hand. The article further provides that, in the determination of the rules of law, the Court may consider "judicial decisions and the teachings of the most highly qualified publicists of the various nations". It is then provided that the Court may apply, in the decision of a case, the principles of equity and justice. For the purpose of the present case, it might be sufficient to point out that the Parties have not agreed that the Court should decide the questions involved *ex æquo et bono*. But had the Assembly of the League, which added, practically without discussion, this provision to the draft of the Statute, which had been prepared and debated at length by the Committee of Jurists, intended that this addition to the Statute should throw open the doors of the Court to questions involving the making of agreements between nations and the decision of disputes of a purely political nature, in accordance with considerations of political and economic expediency, it is most improbable that this language would have been deemed sufficient or have been used. This provision was not in the Statute of the World Court submitted by the Committee of Jurists appointed by the League of Nations. It was added by a Committee of the Assembly and finally adopted by the League and submitted to the various governments. Neither in the records of the proceedings of this Committee nor in its report to the League, is there a suggestion that this provision of the Statute was intended to give the Court jurisdiction of political and economic questions which the Court might settle without regard to treaty rights or principles of law and equity. In fact, quite the contrary.

The provision was suggested by M. Fromageot of France, who simply desired to add to Article 38 (Article 35 of the Jurists' Draft) that the Court might decide on principles of "law and justice", which would have resulted in simply adding the word "justice" to sub-division 3. To express this view the clause was adopted authorizing the Court to decide matters *ex æquo et bono*. But M. Fromageot stated that this "clause" did not imply that the Court might disregard existing rules, and the existing rules were those laid down in Article 38, whereby the Court was to base its decision of questions upon treaties and conventions between nations and upon principles of law.

What is a political question? It is a question which is exclusively within the competence of a sovereign State. The making of tariff regulations, the regulation of immigration, the imposition of taxes and, in short, the exercise of all governmental power necessarily inherent in a sovereign State, involve questions of this nature. In passing upon a political question there is no rule or principle of law, no norm of equity, justice or even good conscience, which the Court can apply; for, unless limited by treaties, the power of a State in this domain is unlimited.

In view of these considerations, it is not, in my opinion, possible to hold that the provision contained in Article 36 of the Statute of the Court to the effect that the Court's jurisdiction "comprises all cases which the Parties refer to it" authorizes this Court to take jurisdiction of purely political questions and decide them upon considerations of political and economic expediency as an *amiable compositeur* or conciliator.

It must, therefore, be taken that the words "all cases" and "all matters" used in Article 36 mean all cases and all matters susceptible of solution by the application of the rules and principles set forth in Article 38. This might, in a given case, include questions which, in the absence of treaty

provisions forming conventional law between the Parties, would otherwise be "political questions" or questions exclusively within the competence of the States themselves. It certainly does not, however, include cases for the solution of which there exist absolutely no rules or principles of law, and which the Court must decide solely upon the basis of its conception of political or economic expediency.

While the importance of the settlement, by pacific means, of all disputes between nations should in no way be minimized, it is of the greatest importance that the prestige and influence of this Tribunal and the confidence which it should inspire among the nations as an impartial judicial body, wholly detached from political influence, should not be decreased or jeopardized, as would be the inevitable result of its assumption of jurisdiction over matters exclusively within the domain of the political power of a State. It seems to me incontestable that nothing could be more fatal to the prestige and high character of a great International Court of Justice than for it to become involved in the political disputes pending between nations, questions which may arise because of economic rivalry or racial, social or religious prejudices. No principle of law can be invoked for the settlement of such questions. That these political questions often lead to conflict and that the nations are pledged by the Pact of Paris to settle all differences by pacific means is undoubtedly true; but there is ample machinery for the adjustment of these questions; diplomacy, conciliation commissions and general arbitration are available for this purpose, whenever nations are willing to submit their sovereign rights to arbitration. But these questions of political or economic policy are within the sovereign jurisdiction of every independent State and should not and cannot be submitted to the International Court of Justice. There is also the League of Nations, which is a political conciliation body to which all the Members may appeal. There is no need to impose upon the Court any such political questions destructive of its influence as a Court of justice.

The Parties to this case are at liberty to submit the political questions involved therein to arbitration before arbitrators specifically chosen for the purpose, if other means of settlement fail.

The question of jurisdiction can always be raised at any stage of the proceeding. It is not even necessary that it be raised by one of the litigant Parties. It may and should be raised by the Court on its own initiative, as was done in the Eastern Carelia case.

It is my opinion, therefore, that the competence of the Court in this case extends only to the determination of the legal rights of the Parties, and that it could not, even with their consent and at their request, settle such political questions as may be involved in the execution of paragraph 2 of Article 435 of the Treaty of Versailles.

(Signed) FRANK B. KELLOGG.
